

Omenel

Chp:- Inflation

Policies to control Inflation



Zarale
muntag



Fiscal policy

It refers to the use of revenue and expenditure decisions by a government to influence economic activity in a country. In particular these decisions are taken to influence the level of aggregate demand in an economy.

A government budget is a financial document that gives details of a government proposed income and expenditure for a particular period of time.

Budget deficit :- $\text{Government spending} > \text{Tax revenue}$

Budget surplus :- $\text{Tax revenue} > \text{Government spending}$

Taxation

- * Direct / indirect taxes
- * Progressive / regressive / proportional taxes

Direct and indirect taxes :- A direct tax is a tax imposed on the incomes of individuals and firms e.g.

- * Income tax (on the incomes of individuals)
- * Corporation tax (on the profits of companies)
- * Inheritance tax (on the wealth of individuals)

Income tax is a direct tax on the incomes of individuals. There is usually a personal allowance which is tax-free, and then different tax rates for different levels of incomes over the tax free allowance.

An indirect tax, on the other hand, is a tax imposed on expenditure. Examples of indirect taxes include:

- * Value added tax (VAT)
- * Goods and services tax (GST)

Progressive, regressive and proportional taxes

A progressive tax is one where not only the amount of tax paid rises when there is an increase in income, but the rate of tax increases. For example it could start at 10%, then 20%, 30%, and even higher as income rises. In this situation, the marginal rate of taxation increases with a rise in income and the marginal rate of tax will be higher than the average rate of tax.

A regressive tax is the opposite of a progressive tax. This occurs where a fixed percentage of tax is imposed on expenditure, as with VAT (value added tax). In this case, the marginal rate of taxation falls as income increases.

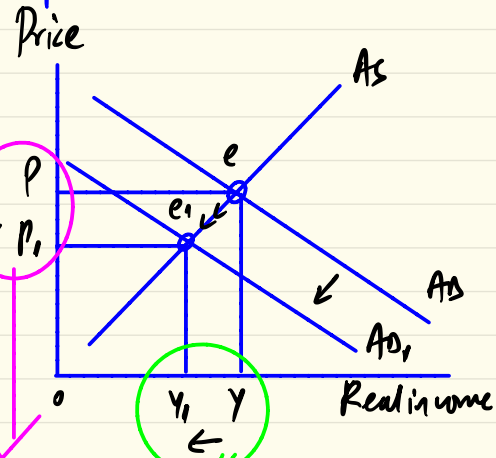
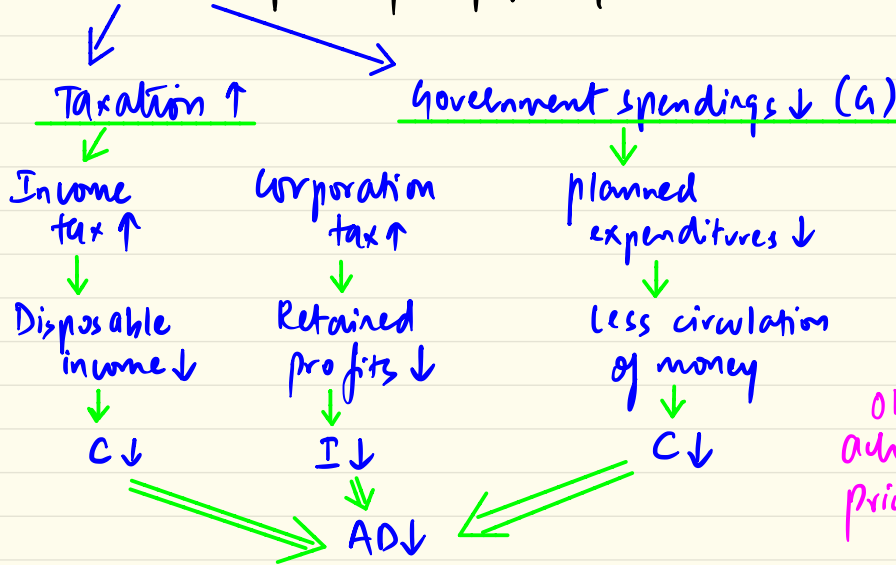
A proportional tax, also known as flat tax, has a constant marginal rate of taxation irrespective of any changes in the income level. With a proportional tax, the marginal rate of tax and average rate of tax are the same.

Policies to control inflation (Contractionary / Deflationary)

Demand side policy

But, it leads to disincentive, emigration, tax evasion, people might not saving and still spend more etc.

a) Fiscal policy (Budgetary policy)



Objective achieved,
Price stability

Conflicts with
full employment
objective

AD ↓, production ↓, output ↓, Demand for labour ↓, Unemployment

b) monetary policy $M^s \downarrow$ $R \uparrow$ Exchange rate $\uparrow$

$\Downarrow$
Money supply $\downarrow$

↳ But,

interest inelastic, fall in aggregate supply etc!

$\nwarrow$ +ve $\nearrow$

Interest rate $\uparrow$

Savers $\uparrow$

$\downarrow$
return on saving $\uparrow$

C $\downarrow$

Borrowers $\downarrow$

$\downarrow$
cost of borrowing $\uparrow$

I $\downarrow$

Exchange rate $\uparrow$

$\downarrow$
Appreciation

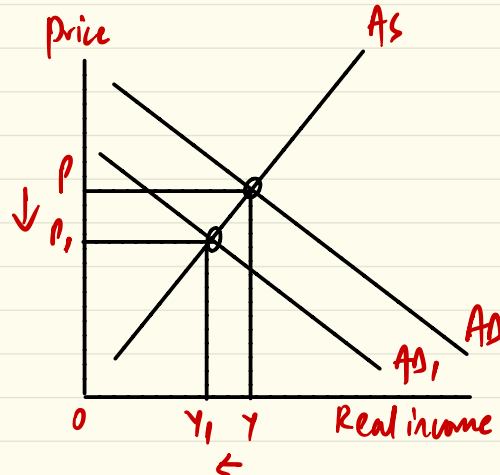
X price $\uparrow$
X Qty $\downarrow$
X (TR) $\downarrow$

M prices $\downarrow$
M Qty $\uparrow$
M (TE) $\uparrow$

Trade deficit

Incomes $\downarrow$

C $\downarrow$



* Controls demand pull inflation

Monetary policy

It refers to use of decisions by a government to influence economic activity in a country in relation to the money supply, interest rate and exchange rate

Tools are :- Interest rate, money supply and exchange rate

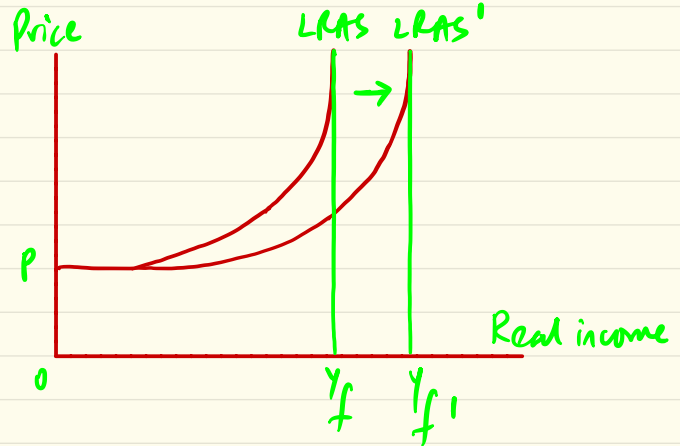
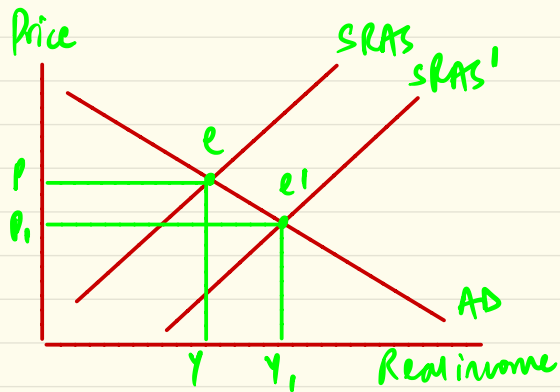
The interest rate is concerned with the price of money. An increase in the interest rate will raise the cost of borrowing and a decrease in the interest rate will lower the cost of borrowing.

The money supply refers to the amount of money that is available in the banking system. An increase in the money supply will be likely to encourage borrowing

Supply side policy

It targets to increase aggregate supply by improving the workings of product and factor market. Sometimes supply side policy tools will reduce government intervention; at other times they result in increased government intervention.

The tools of supply side policy include spending on education and training, promoting infrastructure development and support for technical improvement. Other tools include cuts in corporate tax, cut in income tax, trade union reform, privatisation, deregulation and relaxation of immigration controls.



Tools

- * Increasing incentives to work through the lowering of income tax and unemployment benefits, the idea being that this will encourage more people to seek employment.
- * Increasing expenditure on education and training to improve the quality of labour force, the idea being that this will improve the productivity and flexibility of labour force.
- * Reforming trade unions so that their power is reduced, the idea being that fewer working days will be lost as a result of industrial action, such as strikes.
- * Encouraging privatization so that the size of the private sector in an economy increases and the size of the public sector decreases, the idea being that firms in the private sector are likely to be more efficient than those in the public sector, especially where there is intense competition in an industry.
- * Encouraging deregulation which will allow greater competition, the idea being that a reduction of barriers into an industry will enable more firms to enter.
- * Providing more information about job vacancies, the idea being that greater

Knowledge of what is available in the labour market could encourage a greater degree of occupational and geographical mobility of labour in an economy.

- * Encouraging infrastructure development, such as the construction of new road and rail links to improve transport and so reduce the cost of production.

- * Supporting technological improvements, such as by providing financial incentives for research and development.

Questions

- Q1 Define fiscal policy ? 2
- Q2 Define budget ? 2
- Q3 Explain the difference between budget deficit and budget surplus ? 4
- Q4 Explain the difference between direct and indirect tax ? 4
- Q5 Explain the difference between progressive, regressive and proportional tax ? 6
- Q6 Explain how fiscal policy can be used to control inflation ? 6
- Q7 Explain how monetary policy can be used to control inflation ? 6
- Q8 Define supply side policy ? 2
- Q9 Explain how supply side policy can be used to control inflation ? 6
- Q10 Explain the conflict between price stability and full employment ? 4